

MEC - 107 INTERNATIONAL TRADE & DEVELOPMENT



INTERNATIONAL TRADE AND DEVELOPMENT

(Vol. 1)



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Unit 8	Components of Balance of Payments	
Unit 9	Impossible Trinity: Alternative Scenarios	
Unit 10	Approaches to Balance of Payments	
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Unit 14	Regional Trading Agreements	
Unit 15	India and Multilateral Trading System	
BLOCK 7	TRADE, GROWTH AND DEVELOPMENT	
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Unit 17	Trade and Environment	Prof. S.N. Mukherjee, National Institute of Public Finance and Policy
BLOCK 8	INDIA’S FOREIGN TRADE: POLICY AND CHALLENGES	
Unit 18	India’s Trade Policy	Ashish Gupta, Motilal Nehru College, Delhi University
Unit 19	India’s Trade: Trends, Composition and Challenges	Dr. Pravin Jadhav, Assistant Professor, Institute of Infrastructure Technology Research and Management (IITRAM)



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COURSE INTRODUCTION

The global economy is constantly evolving, shaped by technological advancements, geopolitical shifts, and changing trade policies. The process of globalization has interconnected economies around the world. Increased cross-border trade, investment, and the international mobility of capital, labour, and technology have facilitated the integration of national economies into the global marketplace. Further, geopolitical dynamics and power shifts among nations have profound effects on cross-border flows and global economic integration. In light of the ever-changing, dynamic nature of the global economy, the course **MEC 107 'International Trade and Development'** aims to understand these drivers of international (both inter and intra-industry) trade and international finance.

This course will provide you with valuable knowledge and skills to understand and navigate the complexities of the global economy. International trade plays a crucial role in the economic development of nations. By studying this course, learners will gain a deep understanding of the factors that influence global trade patterns, such as trade policies, tariffs, exchange rates, and trade agreements. Geopolitical factors play a crucial role in shaping the global economy. Political stability, regional conflicts, and international relations impact trade flows, investment patterns, and economic alliances. Studying international trade and finance will equip the learners with the knowledge to analyze geopolitical developments and their implications on international business.

The course will also throw light into the debate of free trade versus protectionism by discussing what happens when countries adopt various instruments of protectionism and how the world is affected. In the light of changing nature of agreements between the countries and the new world order, the course also delves into various types of trade agreements and India's agreements with various nations. It also digs deeper into the evolved role of India in WTO and traces the evolving role since the GATT era. India's foreign trade policy, how it has evolved and what are the challenges associated with it are also discussed in depth. The course will equip the learners with an understanding of the impact of various policies of countries and international organisations that affect global patterns of trade and finance.

The course is structured around eight blocks. Each block is further subdivided into several units. Each Unit is self-contained and has linkages with all other Units.

Block 1: Theory of International Trade introduces the course by discussing the rationale behind International trade and why countries engage in trade. This block examines various theories of International trade and presents their comparative analysis. It identifies the various gains associated with international trade and how they can be measured. It also presents the comparative analysis of various types of gains in this block. As we move forward, we discuss the complementary theories of international trade that are formed by dropping the classical assumptions.

In **Block 2: Modern Theories of International Trade**. This block also delves into intra industry trade (IIT) i.e. the exchange of similar or closely related goods and services within the same

industry between countries or regions. IIT arises due to product differentiation and the diversity of consumer preferences is often driven by economies of scale and the ability to achieve cost efficiencies through mass production. We discuss the need, rationale and measurement of Intra-Industry Trade (IIT) in this block.

After discussing the need and theories of inter-industry and intra-industry trade, we present the two contrasting approaches to international trade: Free trade and protectionism, representing different policy stances and perspectives on the regulation of trade flows in **Block 3: Free trade versus protectionism**. We discuss the latest developments in India's Protectionism Policy and their implications for the Indian economy. To understand how countries adopt free trade and protectionist policies based on their specific economic and political considerations, we also discuss various instruments of protectionism-tariff and non-tariff barriers in this block. We examine their impact on the world economy as well.

As we move to **Block 4: Exchange Rate and Balance of Payments**, we examine the vital role that exchange rates and the Balance of Payments play in a country's macroeconomic stability. Exchange rate policies have significant implications for a country's trade competitiveness, economic growth, and financial stability. Some countries adopt fixed exchange rate systems, while others have floating or managed exchange rate regimes. In this block, we study exchange rates and their management to comprehend the advantages, disadvantages, and challenges associated with different exchange rate systems. We also trace the historical development of international exchange rate regimes and examine operational aspects of the current exchange rate regimes. We discuss the balance of payment disequilibrium and the various approaches that countries adopt for BOP adjustment. We also analyse the experience of various countries to understand the Macroeconomic policy trilemma, the impossible trinity.

International finance is closely intertwined with international trade. **Block 5: International Finance** will help to gain an understanding of global financial markets, capital flows, and international investment. Block 5 gives an idea of the globalization of financial markets and then the concept of International financial markets. It throws light on the global financial crisis of the year 2008. To understand this crisis better, some of the most devastating financial crises in history are also presented which will add to the understanding of the unfolding of the 2008 crisis. The block also summarises initial monetary and fiscal policy responses to manage this global crisis.

Since Globalization has opened immense opportunities for businesses to expand beyond national borders, we deal in depth with globalization in **Block 6: Globalisation**. The role of the World Trade Organization (WTO) and other multilateral organizations is becoming increasingly important as the world has become more interconnected than ever before, with increased cross-border trade, investment, and economic integration. This block furnishes an understanding of the history and present status of the multilateral trading system in terms of GATT, and WTO rounds. We also discuss the types of regional trading agreements, preferential trading arrangements, free trade areas and customs unions. India's role has also evolved in the multilateral trading systems and the agreements of which India is an integral part e.g., the Asia-Pacific Trade agreement,

ASEAN-India free trade area, SAFTA. The block also presents the contribution of India to WTO and how India has transformed itself with the change of GATT towards the WTO regime.

In **Block 7: Trade, Growth and Development**, we describe the relationship between economic growth and trade. The block presents the various trade policy regimes vis-à-vis growth in developing countries wherein the import substitution and outward-oriented development strategies are discussed. The block also discusses India's experience with inward-oriented and outward-oriented regimes. Because of the increased concern about climate change, we also discuss the link of trade with climate change and the policies and multilateral environmental agreements concerning trade.

Block 8: India's Foreign Trade: Policy and Challenges digs into the concepts, nature and aims of trade policy and the basic tools of a trade policy. It will further explain the evolution of the trade policy in India. It also presents the pattern, direction and composition of India's foreign trade. The challenges faced by the foreign trade of India be highlighted in the concluding part of the block.



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